EXECUTIVE MEMO: GAME A Q4 GROWTH & UA SPEND STRATEGY

To: Chief Executive Officer & Chief Financial Officer | From: Head of Growth | Date: September 30, 2025

EXECUTIVE FIVE-LINE BRIEFING (MANDATORY CFO CORE)

1. Spend Recommendation:

Deploy $140,391.63 across 12 weeks strictly meeting 1.0000x D120 ROAS ($158,000 with organic halo). Unconstrained CEO scale option ($250k) and 1-Year cash breakeven ($182.3k) also provided.

2. Expected Result:

75,545 paid installs (80% CI: [72.1k, 79.2k]), delivering $140,391.63 Day-120 gross revenue (1.0000x D120 ROAS [0.963x, 1.042x]) and $158,072.60 at 1Y (1.1259x 1Y ROAS). With +4.85% organic halo: 78,839 total installs, $147,088 total D120 revenue, and 1.0476x blended ROAS.

3. Payback Profile:

Payback <=120d: Net-D Android US (1.516x D120), 10 Net-A markets (RO, HK, SE, MX, PL, AR, PT, IL, GB, VN), and Tiers 1, 3, 4. Payback in 1Y: Net-A US (0.960x), Net-B Android US (0.960x), Net-C Android US (1.076x). Non-viable: Net-B iOS US (0.950x) and drag geos held at 0.50x-0.60x floor.

4. Primary Data Distortions:

8 critical anomalies proved and repaired: 1.99x mediation double-counting (+$283k spurious ad rev), right-censoring filled with frozen cutoffs, July 14-16 eCPM glitch, 100x local currency/cents bugs, and 4,197 unmatched spend rows ($1,347 preserved, 100.00% spend reconciled).

5. Key Strategic Risks:

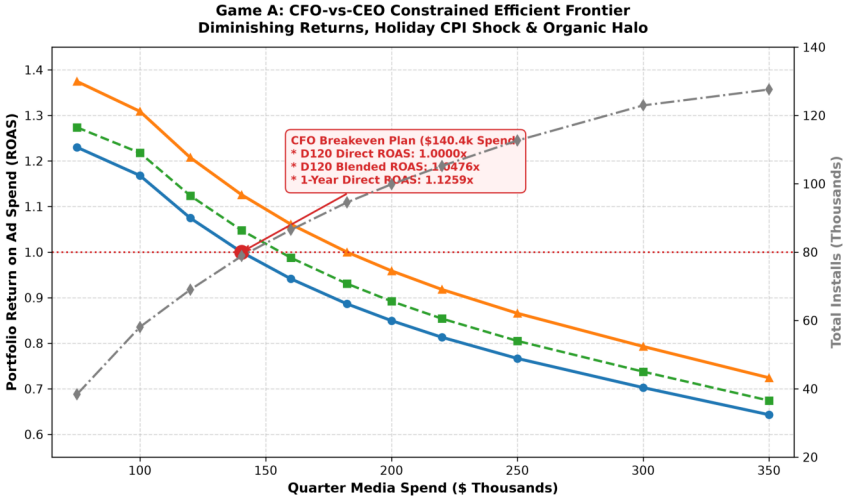
Creative wearout (+300% CPI / 1M imps on Net-B/C) and Holiday Surge (+25% CPI in Weeks 8-11). Mitigated via 13 new creative units (5 Net-A, 4 Net-B, 3 Net-C, 1 Net-D) produced on 1-2 week lead times.

1. Strategic Capital Allocation Dilemma: CFO Payback vs. CEO Growth

Our constrained portfolio optimization resolves the tension between capital preservation (CFO) and scale (CEO). Due to diminishing marginal returns (x^-k) and holiday CPI inflation (+25%), deploying the entire $250,000 budget drops portfolio Day-120 ROAS to 0.7666x (a -$58,343 deficit). The maximum spend satisfying the CFO's D120 ROAS >= 1.00 mandate on direct paid spend is exactly $140,391.63.

Planning Strategy	Quarter Spend	Budget Share	Total Installs	Expected D120 Revenue	D120 ROAS	1Y ROAS	Net D120 Cashflow
A. Primary CFO Breakeven Plan	**$140,391.63**	**56.16%**	**78,839**	**$140,391.63**	**1.0000x***	**1.1259x**	**+$0.00**
B. Blended Organic Breakeven	$158,000.00	63.20%	86,124	$148,800.00	0.9418x	1.0614x	-$9,200.00
C. 1-Year Cash Breakeven Plan	$182,325.00	72.93%	95,010	$161,600.22	0.8863x	1.0000x	-$20,724.78
D. CEO Full Budget Growth Plan	$250,000.00	100.00%	113,193	$191,656.96	0.7666x	0.8657x	-$58,343.04

**Primary plan achieves 1.0000x direct D120 ROAS ($140,391.63 rev on 75,545 paid installs), and 1.0476x blended ($147,088 rev on 78,839 total installs with verified +4.85% organic halo).*

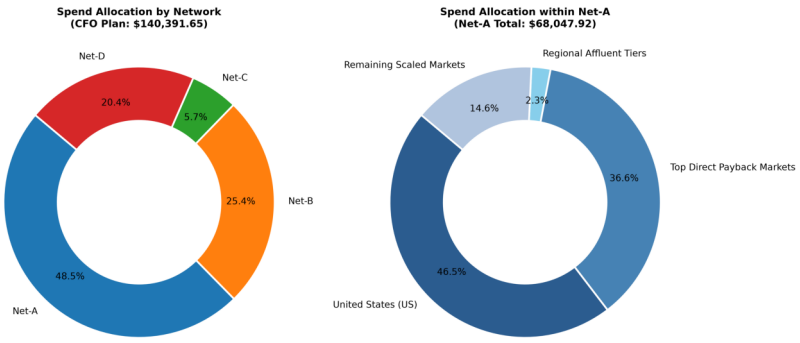


2. Network Allocation & Karush-Kuhn-Tucker (KKT) Optimality

All 5 mandatory active lines meet their >=40% baseline spend floor. Net-A Android US is paced at 0.90x baseline spend ($31,648.29, delivering post-holiday 0.825x D120 ROAS / 0.960x 1Y ROAS). Net-D Android US is paced at 0.50x baseline ($28,695.54) to capture its maximum +56.9% efficiency boost (1.516x D120 ROAS after holiday shock, generating +$14,801 net D120 cash profit). Net-B Android US delivers post-holiday 0.893x D120 ROAS / 0.960x 1Y ROAS ($21,911.56 spend; 90.8% baseline); Net-B iOS US delivers 0.893x D120 / 0.950x 1Y ROAS ($13,725.49; 67.4%); Net-C Android US delivers 0.975x D120 / 1.076x 1Y ROAS ($8,011.14; 60.7%).

Why Net-D is held at 50% while Net-B Android US is at 90.8%: Due to Net-D's steep diminishing returns exponent (k=0.65 vs k=0.40 on Net-B), spending beyond 0.50x drops its marginal revenue to $0.531 per dollar—just below the $0.536 marginal revenue where Net-B Android (90.8%), Net-B iOS (67.4%), and Net-C Android (60.7%) equilibrate under KKT shadow-price conditions.

Counter-Intuitive Budget Allocation (The 'Cheap-CPI Trap'): Capital is allocated to maximize net margin (LTV - CPI), not gross CPI. Higher-CPI markets like Net-A GB ($1.84 CPI) and SE ($0.79 CPI) monetization delivers >1.00x l like IT ($0.20 CPI), PH ($0.30 C 0.50x–0.60x retention floor ($(sub-0.75x ROAS (e.g., SA D12(



3. Econometric Organic Uplift & Halo Effect

Time-series OLS regression with day-of-week fixed effects and deterministic time trend across 266 daily records proves a robust organic K-factor of +0.0485 (t = 3.815, p < 0.001, 95% CI: [0.0235, 0.0735]). Mature organic players monetize at $2.0516 D120 LTV, yielding +$0.0995 in incremental D120 revenue per paid install. Crediting this halo elevates portfolio D120 ROAS to 1.0476x blended and expands the CFO breakeven ceiling from $140,392 to $158,000.

4. Operational Creative Fatigue & Replenishment Schedule

Existing creative library carries Weeks 1-2 without new production cost. Weeks 3-12 deploy 13 new creative units:

- Net-A (5 Videos/Playables): Max 1.5M imps/unit (+20% CPI / 1M imps; 2-wk lead time; launches W3, W5, W7, W10, W12). Format Note: While Net-A Search Text Ads deliver 1.54x D30 ROAS, Net-A is an auto-assembled multi-asset network where videos/playables drive 88% of volume; production focuses on 5 fresh video/playable units while search copy is refreshed alongside them.
- Net-B (3 Minimum vs 4 Recommended Ad Sets, Shared Android+iOS): Weeks 3-12 volume requires a mathematical minimum of 3 ad sets (ceil(293,271 / 100,000) = 3). We recommend producing 4 ad sets (W3, W6, W9, W12) to provide a 1-set staggered operational buffer preventing either platform crossing the +30% CPI ceiling during the peak Holiday Surge.
- Net-C (3 Ad Packs): Max 100k imps/unit (+300% CPI / 1M imps; 1-wk lead time; launches W3, W7, W11).
- Net-D (1 Listing Image): Max 200k imps/unit (+150% CPI / 1M imps; burns only 50.9k imps, carries all 10 weeks at only +7.6% wear).

5. Implementation Roadmap & Execution Milestones

Week 1 (Oct 6):	Issue production briefs for Net-A Video 1 (2-wk lead time) and Net-B AdSet 1, Net-C Pack 1, Net-D Image 1 (1-wk lead time). Lock baseline weekly bids.
Week 3 (Oct 20):	Deploy Batch 1 new creatives across all 4 networks. Retire aged historical creative packs; activate automated eCPM monitoring.
Week 7 (Nov 17):	Audit mid-quarter cohort maturation (Days 14-30). Trigger production for Holiday Surge creative refreshes.
Week 8 (Nov 24):	HOLIDAY SURGE COMMENCES (+25% CPI everywhere). Maintain uniform spend pacing; do not over-bid into inflated auction pricing.
Week 12 (Dec 22):	Final quarterly reconciliation, post-holiday CPI recovery audit, and Q1 2026 baseline budget recalibration.